

Daily Need to Know

Wednesday, 9 September 2026 · Pre-market brief

Coverage window, capture method and edition notes are at the back, in section 16.

1 Market snapshot — the close, and where it is trading now

ASSET	LAST	CHANGE	NOTE
US CASH EQUITIES — SETTLED 16:00 ET TUE 8 SEP · 04:00 GMT+8 · 2H 07M OLD			
S&P 500	7,673.52	▼ 0.58%	Range 7,666.99–7,717.81; closed at 12.8% of it. Opened at the high, never traded above it. 1.83% below the 52-week high.
Nasdaq Composite	26,421.41	▼ 0.32%	Best of the four, and still shut at 39.9% of range. Held up only because semis carried it.
Dow Jones	52,786.07	▼ 1.18%	–628.18 points . Twice the S&P's loss. A health-care and medtech story, not a macro one — see §9.
Russell 2000	2,960.20	▼ 0.52%	Closed at 9.2% of range — the ugliest close on the board. Hedgeye cut its Russell band to neutral overnight.
Philadelphia SOX	11,887.86	▲ 1.30%	The only index up — and it still closed at 24.7% of its range, 136 points off the high. Up on the day, sold all afternoon.
INDEX FUTURES — TUESDAY SETTLE PLUS ~7 MIN OF THE NEW GLOBEX SESSION · LIVE 06:07 GMT+8 · CHANGE COLUMN IS THE TUESDAY MOVE			
E-mini S&P (ES)	7,680.50	▼ 0.54%	Basis to cash +6.98 , normal. Volume 1.47m vs 1.30m 10-day average — 113% .
E-mini Nasdaq (NQ)	29,538.75	▼ 0.09%	Volume 117% of average. Traded 29,424.75–29,764.75; the whole 340-point range was given back.
E-mini Dow (YM)	52,832	▼ 1.14%	Volume 129% of average — the heaviest relative turnover of the four. Selling was in the Dow, and it was real.
E-mini Russell (RTY)	2,963.60	▼ 0.44%	Volume 111% of average. The overnight low of 2,954.70 still sits 42.7 points above Hedgeye's 2,912 floor.
US RATES — CASH YIELDS, LIVE 06:07 GMT+8			
US 10-year	4.792%	▲ 0.8bp	Session high 4.812% , a new cycle high; the close sits 7.8bp under Hedgeye's 4.87 ceiling. 54.1% of band.
US 30-year	5.249%	▲ 0.5bp	High 5.278%. The long bond above 5.25% is the multiple-compression problem nobody is pricing.
US 5-year	4.566%	▲ 1.8bp	Closed 1.6bp off its own 52-week high of 4.582%. The belly is leading.
US 2-year	4.400%	▲ 2.6bp	Biggest move on the curve. 2.3bp from the 52-week high. \$58bn 3-year auction stopped through at 4.474%, bid-to-cover 2.72x.
13-week bill	3.872%	▲ 1.5bp	2s10s +39.2bp ; 3m10y +92.0bp . Bear-steepening with the front end rising is a hike curve, not a cut curve.
ENERGY — FRONT CONTINUOUS CONTRACTS, LIVE 06:07 GMT+8			
WTI crude	\$93.03	▲ 1.69%	Sixth consecutive up session . High 94.73. Highest close since 4 June. 67.0% of Hedgeye's 85.75–96.62 band, whose ceiling rose \$1.99 overnight.
Brent crude	\$97.92	▲ 1.70%	Traded to \$99.45 . Highest close since 23 July. Houthi strikes on four southern Saudi cities halted operations at some energy facilities.
Natural gas	\$2.916	▼ 1.98%	The one energy contract that fell. Range 2.863–3.014; band 2.84–3.03, 40.0% of it. Hedgeye is long UNG.
RBOB gasoline	\$3.2525	▲ 1.18%	Lagging crude — crack narrowing. High 3.3269 against a 52-week high of 3.764.
METALS — SPOT, THE SERIES HEDGEYE'S BANDS NAME · LIVE 06:07 GMT+8, ~67 MIN OF THE NEW FX DAY			
Gold (spot)	\$4,355.19	◆ 0.00%	Flat on 67 minutes; the day's move was in futures, –0.84% to \$4,439. 21.8% of band. Hedgeye cut gold to minimum position size on Tuesday.

Silver (spot)	\$65.668	▼ 0.12%	53.4% of a 63–68 band whose ceiling fell \$1. Hedgeye sold all its silver on Tuesday. Futures went the other way, +0.38% to \$67.00.
Copper (spot)	\$6.6445	▼ 0.10%	56.1% of band. Futures +2.11% to \$6.8235 — a new 52-week high — on a record LME print. The spot-futures gap is the story here, not the spot tick.
CURRENCIES AND VOLATILITY — SPOT FX LIVE 06:07 GMT+8; VIX SETTLED 16:15 ET			
Dollar index (DXY)	98.836	▼ 0.07%	22.1% of a 98.60–99.67 band Hedgeye calls bearish . Only 3.4% above its 52-week low of 95.551.
USD/JPY	153.79	▼ 0.14%	Yen at the strong end of a 67-minute range. Up ~5% in a week on a BoJ hike near-fully priced for 17–18 Sep. Hedgeye: Japan now bearish TRADE and TREND, short SoftBank.
USD/KRW	1,340.95	▼ 0.32%	Won the strongest major overnight. Range 1,336.15–1,346.69 is wide for the hour — this row carries real movement, not noise.
VIX	15.71	▲ 8.20%	76.3% of Hedgeye's 13.78–16.31 band and the biggest percentage move on the board. High 15.94. Still historically cheap against what the tape did.
CRYPTO — GENUINELY CONTINUOUS, 24-HOUR CHANGE			
Bitcoin	\$78,516	▼ 0.75%	Low \$77,644 . Now 37.8% below the 52-week high of \$126,230. The only market on this page that never closed.

▲ up ▼ down ♦ unchanged to two decimal places; colour tracks the direction of the printed number itself, not a view on whether the move is good news — a rising yield or a rising VIX shows green because the number rose. Cash equity and VIX rows are settled prints from Tuesday's session and are ~2 hours old; every other row is a live capture taken at 06:07:50–06:07:52 GMT+8. Futures reopened at 06:00 GMT+8, so the futures block carries Tuesday's settle plus seven minutes — its change column measures Tuesday, not the overnight. Spot FX and spot metals rolled at 05:00 GMT+8 and contain ~67 minutes; ranges that look implausibly narrow are narrow because the day is 67 minutes old. Reconciliation, single-sourcing and the Yahoo failure are documented in §18.

TL;DR

Everything closed on its low. The S&P shut at 12.8% of its daily range, the Dow at 16.6%, the Russell at 9.2% — and the Philadelphia semiconductor index, up 1.30%, still closed at 24.7% of its range. An index that rises all morning and is sold all afternoon is being distributed into, not accumulated.

Hedgeye has already acted on it. Keith McCullough said on Tuesday's Macro Show that he flipped Real-Time Alerts to **2 longs and 6 shorts** — net short US equities — from roughly 12 longs against one short at the highs. He sold all his silver, cut gold to minimum size, removed small-cap exposure entirely and made utilities his largest short. The Russell 2000 risk range was downgraded from bullish to **neutral**.

Oil is doing the work. WTI's sixth straight advance to \$93.03 came after Houthis strikes on four southern Saudi cities halted operations at some energy facilities. McCullough's arithmetic — every \$1 of crude adds 3–4bp to inflation — takes his CPI path to **3.7–3.8%**. Fed funds futures price roughly **60% odds of a rate rise** on 16 September. August CPI lands Friday.

2 The big picture — what it means

The close is the signal, not the change. Four of the five headline indices finished in the bottom fifth of their daily range. The S&P opened at 7,717.81, which was also its high, and spent the rest of the session going one way. Decliners beat advancers roughly 2.4-to-1 within the index. Equal-weight (RSP –1.04%) underperformed cap-weight (SPY –0.55%) by **49 basis points**. That is the arithmetic definition of narrowing: fewer names carrying a smaller decline.

The rotation was violent and it was not a risk-off rotation. Semiconductors rose 1.30% while health care fell 2.52% and financials 1.38%. Money moved from defensives and rate-sensitives into AI capex — Intel +9.05%, AMD +5.90%, Applied Materials +3.98%, Broadcom +2.98% — while six of the seven megacaps fell. Nvidia was down 2.01%. The AI trade on Tuesday was in the second tier, not the leadership.

Hedgeye's book turned before the tape did. The shift to 2 longs and 6 shorts happened on Friday, on lower highs and deteriorating breadth, and was confirmed on Tuesday. The two surviving longs are consumer staples; McCullough

described the residual long book as "PB&J and ice cream". Signal-strength breadth has compressed to **62 longs against 62 shorts**, from roughly 90-against-40 at the prior all-time high. That is a 28-name swing in the wrong direction over a few weeks.

The bond market is pricing a hike, and the curve agrees. The 2-year rose 2.6bp to 4.400%, the biggest move on the curve and 2.3bp from a 52-week high; the 10-year printed a new cycle high at 4.812% intraday. 3m10y sits

at **+92bp** and 2s10s at +39bp. Bear-steepening with a rising front end is the shape of a market that expects tightening, not easing. The MOVE index rose 4.16% to 76.14 — bond volatility is waking up from a very low base.

The inflation impulse is imported, which makes it harder to argue away. Crude has risen six sessions running on Houthi attacks and a Hormuz shipping war, not on demand. Eurozone August HICP accelerated to 3.3% on the same energy channel. Energy-driven inflation cannot be talked down by a soft-landing narrative, and it lands directly in Friday's CPI. The Cleveland Fed nowcast as of 4 September had headline at +3.38% year-on-year; Hedgeye is above it.

Health care broke a level Hedgeye is long. XLV closed at 167.13, **below** the 168 floor of the risk range published that morning — one of only three sectors McCullough said he still liked. Two failed Novartis trials, a Stryker manufacturing warning and a Boston Scientific guidance withdrawal after a cyberattack did the damage. When a favoured long breaks its floor on idiosyncratic news, the position is the thing at risk, not the thesis.

Nothing about this is a crash, and that is the point. The S&P is 1.83% off its record and up double digits on the year. The VIX at 15.71 is cheap. But the internals — closes on the lows, breadth 2.4-to-1 negative, equal-weight lagging, small caps downgraded to neutral, the sell-side's own risk model flipping net short — describe a market that is being sold quietly by people who do not need to be quick about it.

3 Rates, currencies & commodities

- **The whole curve moved up and the front moved most.** 2-year +2.6bp to 4.400%, 5-year +1.8bp to 4.566%, 10-year +0.8bp to 4.792%, 30-year +0.5bp to 5.249%. Every tenor except the long bond sits within 6bp of a 52-week high. This is a flattening-from-the-front sell-off, which is what a hike scare looks like.
- **The 3-year auction was fine, which matters more than it sounds.** \$58bn at a high yield of 4.474%, up from 4.291% at the last one, with bid-to-cover 2.72x against a 2.62x average and directs taking 26.9% versus 20.4% typically. Dealers were left with only 10.9%. Real money is willing to buy the front end at these levels — the sell-off is a rate view, not a funding problem.
- **The dollar is not confirming the rate move.** DXY fell 0.07% to 98.836 and sits at 22.1% of a band Hedgeye labels bearish. Higher US yields with a softer dollar is the Quad 3 signature — inflation up, growth not — and it is exactly why McCullough is long commodities and short duration simultaneously.
- **The yen is the strongest currency in the world right now.** USD/JPY at 153.79 is up roughly 5% for the yen in a week with a BoJ hike to 1.25% near-fully priced for 17–18 September. Hedgeye has moved Japan to bearish TRADE and TREND and is short SoftBank. A stronger yen and a weaker Nikkei is a carry unwind, and Japan is 2.12% higher from Monday with none of Tuesday's US move in it.
- **Offshore yuan is at the strong end of its year.** USD/CNH at 6.70624 sits within 21 pips of its 52-week low of 6.70415 — the strongest the yuan has been against the dollar in twelve months. China's August exports rose 25.0% year-on-year while imports rose 28.2% against a ~30% consensus; the surplus widened to \$119.09bn. A strong currency on a widening surplus and weak imports is not a demand recovery.
- **Copper is in two places at once.** Spot at \$6.6445 was flat overnight; the futures contract closed +2.11% at \$6.8235, a new 52-week high, on a record LME price of \$14,694/tonne. The 2.7% spot-futures gap is unusually wide and is why the risk-range position must be measured on spot, as Hedgeye publishes it — 56.1% of band, not the ~100% a futures read would give.
- **Precious metals lost their sponsor.** Gold futures fell 0.84% and GLD 1.73% on the day; McCullough cut gold to minimum size and sold silver outright, explicitly because bond yields are re-accelerating into Friday's CPI. Gold sits at 21.8% of a band whose ceiling dropped \$45 overnight — the band is coming down to meet the price.
- **Wheat joined the commodity long book.** CBOT wheat +1.77% to 747c. Hedgeye bought WEAT late last week alongside OIH, ICOP and UNG. The commodity complex is broadening while equities narrow — McCullough's own framing, and the cleanest single description of Quad 3.

4 Hedgeye — regime, risk ranges & the Quad path

MACRO DASHBOARD

READING	CURRENT	SOURCE AND STATUS
US Quad	QUAD 2 — growth up, inflation up	Stated verbally on the Macro Show, 8 Sep 22:14 GMT+8. The last <i>printed</i> dashboard (4 Sep) still shows US Monthly Quad 1; the shift was a forecast then and is being traded now.
US quarterly Quad	QUAD 4 — growth down, inflation down	Macro Week Summary Notes, 4 Sep. Not republished since; 5 days old .
Global Quad	QUAD 3 — growth down, inflation up	Confirmed on both the Early Look and the Macro Show, 8 Sep.
Forward Quad path	NOT SEEN	The path notation lives on page 2 of the Macro Week Summary Notes PDF, which this account cannot render. Third consecutive edition unable to

read it. **No explicit path notation was seen; absence of a printed path is not evidence the path is unchanged.**

Inflation nowcast (CPI)	3.7-3.8%, rising toward 4%	McCullough's own arithmetic on the 8 Sep Macro Show, derived from crude moving \$87→\$94 at 3-4bp of CPI per dollar. Supersedes the 3.55% carried on the 4 Sep dashboard.
Positioning	NET SHORT US equities: 2 longs, 6 shorts	Changed Friday 4 Sep, confirmed 8 Sep. Was ~12 longs vs 1 short at the highs. Signal-strength breadth 62 long / 62 short vs ~90/40 at the prior record.

RISK RANGE™ SIGNALS — EARLY LOOK, 8 SEPTEMBER 2026, 19:31 GMT+8

INSTRUMENT	RANGE	TREND	WHERE IT STANDS, AND HOW THE BAND ITSELF MOVED VS THE 4 SEP SET
UST 10Y yield	4.70-4.87	bullish	4.792 · 54.1% . Floor +7bp, ceiling +3bp, band narrowed 4bp . A rising, tightening band under a rising yield is the strongest confirmation on this table.
High Yield (HYG)	78.90-79.47	bullish	79.12 · 38.6% . Whole band shifted down ~9c. Credit is not confirming the equity sell-off — HYG fell only 0.05%.
Inv. Grade (LQD)	104.70-106.10	bearish	105.48 · 55.7% . Band shifted down 20c, width unchanged. Core short, and unchanged at 0.00% on the day.
S&P 500	7,615-7,772	bullish	7,673.52 · 37.3% . Floor -17, ceiling -9, band widened 8 points . A widening band under a falling price is a loosening of conviction, not a buy signal.
NASDAQ Comp	25,917-26,709	bullish	26,421.41 · 63.7% . Entire band down ~86 points, width roughly unchanged. Best-positioned US equity row.
Russell 2000	2,912-3,014	neutral	2,960.20 · 47.3% . SIGNAL DOWNGRADE — bullish to neutral . Band widened 6 points. The single most important change on this table.
Health Care (XLV)	168-176	bullish	167.13 · BELOW THE FLOOR by 0.87 (-10.9% of band width) . Band moved down 1 point at both ends and the price broke it anyway. Hedgeye is long this.
Software (IGV)	99-112	bullish	Band widened 2 points (floor -3, ceiling -1). Not in the capture universe — no position measurable . Software fell hard on Tuesday (CRM -4%, NOW -5%), so the true position is likely low in the band.
Oil Services (OIH)	412-444	bullish	Band moved up at both ends (floor +1, ceiling +4), the only equity row to do so. Not in the capture universe . OIH was the top ETF re-rank mover on Tuesday, +16 places.
VIX	13.78-16.31	bearish	15.71 · 76.3% . Band narrowed 5bp. Highest position of any risk row — 0.60 from the ceiling.
US Dollar (DXY)	98.60-99.67	bearish	98.836 · 22.1% . Floor +9bp, ceiling unchanged — band narrowed from below while the dollar sat still.
WTI (continuous)	85.75-96.62	bullish	93.03 · 67.0% . Floor +\$1.01, ceiling +\$1.99 , band widened \$0.98 . The band is chasing the price higher. \$3.59 of headroom left.
Nat Gas (continuous)	2.84-3.03	bullish	2.916 · 40.0% . Band narrowed 4c from both sides. Fell 1.98% on the day against a bullish signal.
Gold (spot)	4,274-4,646	bullish	4,355.19 · 21.8% . Ceiling -\$45 , floor -\$22 , band narrowed \$23 . Signal still bullish; the position size was cut anyway.
Copper (spot)	6.51-6.75	bullish	6.6445 · 56.1% . Floor +11c , the largest proportional floor rise on the table. Measured on spot as published — on futures it would read ~130% and be wrong.
Silver (spot)	63-68	neutral	65.668 · 53.4% . Ceiling -\$1 , floor unchanged. Hedgeye sold the entire position on Tuesday against a neutral signal.

Bands from the Early Look "OUR LEVELS" block, published 8 Sep 07:31 ET = 19:31 GMT+8. Band moves are measured against the 4 Sep Early Look set held in the archive state file — Hedgeye published no Early Look on Monday 7 September (US Labor Day), so 4 Sep is the genuine prior. Positions use the 06:07 GMT+8 capture on the series each line names: spot for gold, silver and copper; the continuous contract for crude and natural gas. Wednesday evening's Early Look supersedes this table.

WHAT KEITH ACTUALLY SAID

From the *Early Look*, "Oil, Rates, Inflation #Accelerating", 8 September, 19:31 GMT+8, Keith McCullough:

- "Oil is ripping new 3-month Inflation Cycle Highs... Bond Yields are confirming our Bullish TRADE and TREND Signals (higher for longer)... And Small Caps are starting to suck".
- "Both our Currency and Commodity Signals are perpetuating higher-for-longer Bond Yields. Interest Rates breaking to new Cycle Highs. Small Cap Illiquidity in that environment? A: I don't know why anyone would want that."
- "That's mainly why our Treasuries (TLT and ZROZ) and Investment Grade Credit (LQD) Core Shorts have been some of our best Global Macro Shorts in the last month. I re-loaded on the Short Side of Utilities (XLU) on Friday's bounce too."
- "Will our Fixed Income Short positions stop printing alpha for us by the time our Street High Nowcast for US Inflation (CPI) prints this Friday? I don't know."

From the *Macro Show* summary notes, 8 September, 22:14 GMT+8. **These are Hedgeye's own AI-generated summary of the broadcast and carry their error caveat, so they are reported as attributed summary and not inside quotation marks:** he began selling as the market weakened on Friday and moved Real-Time Alerts to two longs and six shorts, making the setup net short, from roughly twelve longs against one short earlier in the advance; the S&P was coming off the top end of its risk range while signalling a lower high, which he described as a reason to sell and book gains; the two remaining longs are consumer staples, one of them J.M. Smucker; he sold all his silver and cut gold to minimum position size because of re-accelerating yields into CPI; he is no longer long the Russell 2000 or broader small-cap exposure; utilities became his largest short after Friday's bounce; the three US sectors he still likes are energy, health care and software; semiconductors have returned to **neutral**, so there is no need to force a position; he remains long Colombia and does not need South Korea exposure; Japan has shifted to bearish trade and trend alongside the yen breakout, and he is short SoftBank; and reaching the top of the bond-yield risk range would be a place to cover some bond shorts.

OTHER HEDGEYE ACTION, 8 SEPTEMBER

- **ETF Pro Plus, 22:34 GMT+8:** ADDED short Industrials (XLI). REMOVED long New Zealand (ENZL). REMOVED short Future Vehicles (CARZ). Adding an industrials short into a -0.48% sector day is a fresh cyclical short, not a chase.
- **Signal Strength Stocks, 23:43 GMT+8:** 61 names, 2 added (PUBM, MGNI), 3 removed — **NFLX**, MDB, FAF. Netflix fell 1.89% on the day and is 39.4% below its 52-week high.
- **Capital Allocation Pro, 01:25 GMT+8 (9 Sep):** model portfolio changes effective on Tuesday's closing prices. **The changes themselves are published as an image and could not be read** — see §18.
- **Tracking note resolved.** The prior edition flagged Hedgeye's long-software / short-semis pairing after it took a 5.75-point adverse move on 4 September, and asked whether the position changed. It did: semiconductors are now **neutral** and Korea exposure has been dropped. The pair trade was not defended.

5 Mag7 scoreboard

NAME	LAST	DAY	CAP	READ
NVIDIA	225.73	▼ 2.01%	\$5.44tn	Opened 233.11, closed 224.85-ish low. The largest company in the world fell 2% on a day semis rose 1.3%. Leadership is not leading.
Apple	316.22	▼ 1.17%	\$4.61tn	Product event 01:00 GMT+8 Thursday — iPhone 18 Pro and a foldable expected, the first launch under CEO John Ternus.
Alphabet	338.36	▼ 0.03%	\$4.12tn	Effectively flat and the best of the seven. Rolled out redesigned European Search results after a €460m DMA fine.
Microsoft	493.95	▼ 1.15%	\$3.67tn	Below \$495 and 10.8% off its 52-week high. Caught in the software de-rating despite being the AI infrastructure winner.
Amazon	256.97	▼ 0.60%	\$2.77tn	Custom-AI-chip collaboration with Qualcomm announced, including a warrant for a ~\$4bn stake and up to \$60bn of chip purchases.
Meta	613.48	▼ 0.53%	\$1.56tn	Range 609.74-624.80 — a 2.5% swing, the widest of the seven. 22.4% below its 52-week high, the deepest drawdown in the group.
Tesla	368.16	▲ 3.98%	\$1.45tn	The only gainer. Goldman argued Cybercab gives a cost advantage over Waymo; Slovenia became the sixth European country to approve FSD Supervised.

Combined capitalisation **\$23.63 trillion**. Six of seven fell. Market caps are TradingView's market_cap_basic field captured at 06:07 GMT+8 and reflect Tuesday's close.

6 Positioning & options

- **The VIX did the most work of anything on the board.** +8.20% to 15.71, taking it to 76.3% of Hedgeye's band with 0.60 to the ceiling. An 8% volatility bid on a 0.58% index decline is a hedging move, not a panic — someone is buying protection deliberately rather than urgently.
- **Bond volatility is re-pricing faster than equity volatility.** MOVE +4.16% to 76.14 from a 52-week low of 55.77. The rates market has more to worry about into Friday's CPI than the equity market appears to.
- **Fed funds futures price roughly 60% odds of a 25bp hike** at the 15–16 September FOMC, per CME FedWatch as reported Tuesday. This flipped after the 4 September payrolls print of +162k. The Fed is in blackout from 5 to 17 September, so there is no speaker to walk it back before CPI.
- **Breadth is the cleanest bear signal available.** Decliners beat advancers ~2.4-to-1 in the S&P; the index showed 5 new highs against 10 new lows, and the Nasdaq 55 against 136. New lows exceeding new highs on a day the index is 1.8% from a record is a genuine internal divergence.
- **Volume confirmed the direction.** S&P cash volume was 107% of its 10-day average and YM futures turnover 129% of average. The selling had size behind it; the semiconductor buying did not have the same relative weight.
- **Hedgeye's own book is the positioning datapoint most worth having.** Two longs, six shorts, no small caps, no Korea, semis neutral, gold minimum, silver zero, largest short in utilities. That is a risk model that has already de-grossed, published a day before anyone has to react to CPI.

7 Sector rotation — leaders & laggards

SPDR SECTOR	LAST	DAY	NOTE
Energy (XLE)	64.77	▲ 1.11%	Traded to 65.24 against a 52-week high of 65.52 and closed just 1.1% below the year's best level.
Utilities (XLU)	43.45	▲ 0.86%	Rose on a day yields rose. This is Hedgeye's largest short .
Technology (XLK)	187.87	▲ 0.32%	The semiconductor gain net of the software loss. Still closed at only 41% of its range.
Real Estate (XLRE)	43.90	▼ 0.07%	Essentially flat despite a 2.6bp rise in the 2-year. Range 43.66–44.26 was wide.
Comm. Services (XLC)	111.52	▼ 0.46%	Held up by Alphabet's flat close; Netflix's 1.89% fall did the damage.
Industrials (XLI)	174.42	▼ 0.48%	Hedgeye added this as a new short during the session.
Cons. Staples (XLP)	84.02	▼ 0.66%	Fell despite being where Hedgeye's only two remaining longs sit. Defensives offered no shelter.
Cons. Discretionary (XLY)	113.99	▼ 0.80%	Tapestry –3.73% was the standout loser; Tesla's +3.98% masked broader weakness.
Materials (XLB)	51.94	▼ 0.95%	Fell on a day copper futures made a 52-week high. Freeport rose 7.4%; the rest of the sector did not.
Financials (XLF)	57.30	▼ 1.38%	Second-worst sector, closed at 7% of its range — the weakest close of the eleven.
Health Care (XLV)	167.13	▼ 2.52%	Worst sector, and below Hedgeye's 168 risk-range floor. Volume 160% of its 10-day average.

Sector ETF prices captured at 06:07 GMT+8 and reflect Tuesday's 16:00 ET close. First Trust Health Care AlphaDEX (FXH) fell 2.07% and was nonetheless the third-largest positive mover in Hedgeye's ETF re-rank, at +8 places — a rank move, not a price move.

- **Leaders.** Energy and utilities were the only two sectors up more than a third of a percent, and they are opposite trades: one is the inflation impulse, the other is the duration proxy that rose anyway. Technology's +0.32% is a net figure hiding a 1.30% semiconductor gain against a 1.4% fall in the S&P software and services index.
- **Laggards.** Health care –2.52%, financials –1.38%, materials –0.95%. Novartis fell roughly 10–12% on its worst day on record after the HORIZON and HARBOR trials both missed; the read-through hit Amgen, Eli Lilly (–2.21%) and Johnson & Johnson (–2.22%). Stryker fell 7.7% on a manufacturing warning, Boston Scientific 2.3% after saying it is unlikely to meet full-year guidance following an August cyberattack.
- **The rotation to name.** Out of software, into semiconductors and power. OpenAI's GPT-6 "Astra", released 3 September, has reignited the AI-eats-SaaS trade: Salesforce –4%, Intuit –4%, ServiceNow –5%, Workday

–4.86%. The other side is chips, optical networking, neoclouds and nuclear power. Whether that is a durable capex thesis or a two-week narrative is the open question of the month.

8 Forward — futures & the week ahead

Globex reopened at 06:00 GMT+8, seven minutes before this capture, so there is no meaningful overnight tape to read yet — the futures block in \$1 carries Tuesday's settle. What can be said is that all four contracts settled with above-average volume and the Dow contract with the heaviest relative turnover at 129% of its ten-day average, and that ES held a normal +6.98 basis to cash, confirming the settle is a settle rather than a mismarked print. The genuinely live markets at this hour — spot FX, spot metals and crypto — are collectively doing very little: the dollar index is down 0.07% on 67 minutes, gold is unchanged to two decimals, and bitcoin, the only market that has traded continuously since Tuesday morning, is down 0.75% and made its low at \$77,644. The setup Asia inherits is therefore not an overnight move but an unresolved US session: everything closed on its low, the volatility bid arrived late, and nothing has happened since to relieve or confirm it.

DAY (GMT+8)	KEY EVENTS
Wed 9 Sep	China August CPI and PPI (consensus +0.9% and +3.2% y/y). No scheduled US data. American Eagle earnings after the US close; Casey's General Stores call 20:30. Fed in blackout.
Thu 10 Sep	ECB decision 20:15 — a 25bp hike to a 2.50% deposit rate is close to fully priced after August HICP accelerated to 3.3%. US August PPI and jobless claims 20:30 . Existing home sales and wholesale trade 22:00. Macy's call 20:00.
Fri 11 Sep	US August CPI and core CPI, 20:30 — the week. Cleveland Fed nowcast (4 Sep) had headline +3.38% y/y / +0.36% m/m and core +2.38% / +0.20%; July was 3.4% and 2.5%. Hedgeye is above the nowcast at 3.7-3.8%. Michigan preliminary sentiment 22:00; Treasury budget statement 02:00 Sat. Kroger call 20:00.
Fri 11 Sep (a.m. GMT+8)	Oracle fiscal Q1 after Thursday's US close (05:00 GMT+8 Friday, call 05:00). Consensus revenue ~\$19.1bn, EPS ~\$1.30; options price an ~11% move; prior-quarter RPO was \$638bn. Adobe reports the same evening. Oracle is down ~20% year-to-date and rose 2.36% into the print.
Tue-Wed 15-16 Sep	FOMC. Roughly 60% odds of a 25bp hike priced. Chair Kevin Warsh.
Thu 17 Sep	Bank of England — hold at 3.75% expected for a sixth meeting, with three MPC members having voted to hike in July.
Thu-Fri 17-18 Sep	Bank of Japan — a 25bp hike to 1.25% is near-fully priced. Governor Ueda has said September is live.
Mon 21 Sep	S&P 500 index changes effective: Bloom Energy, Pandora and Illumina in; Molson Coors, Builders FirstSource and Trade Desk out.
Thu 24 Sep	Trump-Xi summit, Washington.

*Times converted to GMT+8 at +12h from US eastern daylight time. Earnings dates are from company calendars and press reporting; the Oracle and Adobe timings are confirmed, the American Eagle and Kroger call times are from secondary calendars and are marked **unconfirmed**. No published Street consensus for August CPI was obtainable — the Cleveland Fed nowcast is used in its place and labelled as such.*

9 Corporate news

- **Novartis had its worst day on record, roughly –10 to –12%, and took the sector with it.** Two trials failed. HORIZON (pelacarsen, partnered with Ionis) lowered lipoprotein(a) but did not cut major adverse cardiac events; J.P. Morgan said the result lowers expectations for Amgen's olpasiran ahead of its own late-stage data. HARBOR (del-desiran, myotonic dystrophy) missed its primary endpoint at week 54, taking Dyne Therapeutics down 22–31% and Sarepta 7.6%.
- **Stryker –7.7% and Boston Scientific –2.3% turned a pharma problem into a sector problem.** Stryker's CFO told the Wells Fargo conference that peripheral-vascular manufacturing problems will extend into the fourth quarter. Boston Scientific formally warned it is unlikely to meet full-year sales and adjusted EPS guidance after a 25 August cyberattack disrupted global operations.
- **Intel +9.05% to \$104.47 on the heaviest volume in the group** — 139.7m shares against an 86.2m average. Northland's Gus Richard upgraded to Outperform with a \$120 target on the server-CPU shortage and Intel's Tesla "Terafab" foundry work; a supply-chain report suggested PC processor prices rise up to 10% from early October. Intel has separately processed over one million 300mm wafers on High-NA EUV in under two and a half years.
- **Qualcomm and Amazon signed a custom-AI-chip collaboration** including a warrant giving Amazon a stake worth roughly \$4bn and the option to buy up to \$60bn of chips. Reuters put Qualcomm's close at +3.2%; intraday quotes elsewhere ranged from +7% to +9.5% — see §18.

- **Workday -4.86% and Tapestry -3.73% with no company-specific catalyst found for either.** Workday is cleanly explained by the software de-rating (Salesforce -4%, ServiceNow -5%). Tapestry is still working off its 13 August FY27 revenue guide; it should be read as consumer-discretionary weakness, not a Tuesday event.
- **Freeport-McMoRan +7.4%** on a record LME copper price of \$14,694/tonne. GE Vernova and GE Aerospace are buying Consolidated Precision Products for about \$11.75bn. Sigma Lithium fell 11-12.6% after a Brazilian court suspended its Grota do Cirilo licences. Crypto equities followed bitcoin below \$80,000 — Coinbase -3.1%, MicroStrategy -4.4%.
- **After hours, 16:05-18:00 ET.** Braze beat on both lines — adjusted EPS \$0.19 against \$0.15 and revenue \$227.2m against \$220.2m, up 26% — then guided third-quarter EPS to \$0.13-0.14 against \$0.16 consensus and fell **12.1%** to about \$26.64, on top of a 5.16% cash-session loss. GameStop beat (EPS \$0.27 vs \$0.19, revenue \$790.2m vs \$756.8m) with collectibles up 57% to 45.1% of sales and full-year adjusted EBITDA raised above \$650m; the shares were 0.4% lower. Casey's General Stores beat with EPS \$7.37 against \$6.60.

10 Macro data

- **NFIB Small Business Optimism, August: 98.7 actual against 99.3 consensus, down 1.1 points from 99.8.** Six of ten components fell, led by a 5-point drop in owners expecting better conditions. A net -9% reported higher sales over the past three months, the weakest since November 2025. The Uncertainty Index fell 2 points to 89 against a historical average of 68. Released by the National Federation of Independent Business at 18:00 GMT+8.
- **Consumer credit, July (Fed G.19): +\$18.06bn against a roughly \$11.7-16bn consensus range, after +\$14.17bn in June.** A sizeable upside miss on the consumer's willingness to borrow, released 03:00 GMT+8. **Caveat:** the Fed's own G.19 current-release page was still serving the 7 August (June) release when checked, so the July figure here is secondary-sourced and the consensus band is approximate.
- **\$58bn 3-year Treasury auction: high yield 4.474% against 4.291% at the prior sale, a small stop-through of about 0.1bp.** Bid-to-cover 2.72x versus a 2.62x average; directs 26.9% versus 20.4%; indirects 64.2% versus 65.5%; dealers took only 10.9% versus 14.1%. Strong real-money participation at a materially higher yield.
- **China August trade, released Tuesday: exports +25.0% y/y in dollar terms, matching consensus and up from +23.9%; imports +28.2% against a ~30% consensus; surplus widened to \$119.09bn from \$112.5bn.** Exports driven by autos and high-tech including semiconductors. The import miss is the number that matters — external demand is carrying this, domestic demand is not. **These magnitudes are extraordinary and are Reuters/CNBC-sourced rather than taken from the GACC release directly.**
- **Japan Q2 GDP revised up on Monday to +1.4% annualised from +1.1%, +0.4% q/q from +0.3%.** Capex revised to -0.9% from -1.2%, still a slightly faster fall than the -0.8% consensus; private consumption flat. Read as backing the case for a September BoJ hike.
- **Eurozone August HICP accelerated to 3.3%,** driven by the same Middle East energy channel lifting US crude. This is what makes Thursday's ECB hike close to fully priced rather than a debate.
- **What is not here.** There was no US inflation, employment or activity release on Tuesday, and none is scheduled for Wednesday. The market is trading a data vacuum into Friday's CPI with the Fed in blackout until 17 September.

11 Geopolitics

- **▲ Houthis forces struck four southern Saudi cities — Abha, Jazan, Najran and Khamis Mushait — on Tuesday, wounding 73 and halting operations at some energy facilities.** The region hosts the roughly 400,000 barrel-per-day Jazan refinery, one of the kingdom's largest. The Saudi-led coalition called it a serious escalation. The Houthis claimed an attack on the same Aramco complex at Jizan on 9 August, so this is the second strike there in a month. Reported by Reuters, NPR and Al Jazeera.
- **▲ The Strait of Hormuz shipping war is the larger driver.** A US naval blockade has stopped Iranian oil exports since July. CENTCOM said the US struck three Iranian tankers around 5-6 September; Iran struck tankers and fired a ballistic missile toward US warships, apparently at a carrier — no ships hit, no casualties. On Tuesday Iran warned it "will take action against any threat, even before it is carried out". The Wall Street Journal reported late in the session that Iran attacked US Navy ships on Monday; **the Pentagon has not acknowledged this and it should be treated as an unconfirmed single-source claim.** US strategic reserves fell about 1.2m barrels to 285.4m, the lowest since November 1982.
- **◆ Venezuela and Colombia are the only incremental non-OPEC+ barrels in play, which is why Hedgeye keeps naming them.** Chevron announced on 2 September an investment of more than \$7bn to roughly double Venezuelan production to about 600,000 bpd over five years, and the administration announced a joint venture over seventeen Venezuelan fields. Colombia's new president Abelardo de la Espriella is reversing the ban on new exploration licences. India has overtaken China as the largest buyer of Venezuelan crude in 2026.
- **▼ Canada's C\$27.6bn (~US\$20bn) retaliatory tariffs took effect at 00:01 Tuesday —** over 700 product lines at 15-50%, with steel and aluminium at 50%, double the prior rate. Ottawa paired it with a C\$7.5bn

support package for small business and affected workers. This is a dollar-for-dollar match to Washington's latest duties, after talks collapsed in August.

- **▼ The UK banned trade in goods and services from Israeli settlements in the occupied West Bank**, with implementation expected to take six to nine months and eleven countries co-signing an intent to follow. Israel retaliated the same day by closing the British Consulate in Jerusalem and barring British officials from entry — outlets differ on whether eleven or twelve. The US reportedly warned London of economic consequences beforehand.
- **◆ China is running roughly two Coast Guard cutters a month east of Taiwan since June** — the first such patrols in a data series going back to January 2025 — pressuring Taiwan's Pacific coast. Against that, PLA air incursions have fallen back to a pre-2024 baseline. Taiwan's cabinet proposed a NT\$145.7bn (US\$4.6bn) supplementary defence budget on 3 September for drones and surface-to-air systems.
- **◆ Russia-Ukraine.** Ukraine's Prosecutor General Ruslan Kravchenko resigned on Monday amid a corruption scandal. Two Russian Su-35S fighters reportedly collided over Kursk. Analysts flag the risk that Russia starts its winter energy-infrastructure campaign early against Ukrainian interceptor shortages. **No ceasefire is in force**; the April and May truces both lapsed.

12 Overnight setup — what Asia opens into

INSTRUMENT	LIVE 06:07	CHANGE	VOLUME	STATE
ES — E-mini S&P	7,680.50	▼ 0.54%	1,469,603	113% of 10-day average. 7 min into Globex.
NQ — E-mini Nasdaq	29,538.75	▼ 0.09%	599,418	117% of average.
YM — E-mini Dow	52,832	▼ 1.14%	78,444	129% of average — the heaviest of the four.
RTY — E-mini Russell	2,963.60	▼ 0.44%	166,639	111% of average.
USD/JPY	153.79	▼ 0.14%	—	Yen at the strong end of a 67-minute range.
USD/KRW	1,340.95	▼ 0.32%	—	Widest FX range of the hour: 1,336.15–1,346.69.
USD/TWD	31.4926	▼ 0.13%	—	NT dollar firm; 3.2% off its 52-week weak point.
USD/CNH	6.70624	▼ 0.01%	—	21 pips from a 52-week yuan high.
EUR/USD	1.16262	▲ 0.03%	—	Range 1.16208–1.16265. Doing nothing into Thursday's ECB.
Gold spot	\$4,355.19	◆ 0.00%	—	Range \$7.79 wide over 67 minutes.
Silver spot	\$65.668	▼ 0.12%	—	Range \$0.158 — very quiet.
Copper spot	\$6.6445	▼ 0.10%	—	Futures made a 52-week high; spot did not follow.
WTI crude	\$93.03	▲ 1.69%	407,140	153% of average volume — the conviction trade of the session.
Brent crude	\$97.92	▲ 1.70%	70,719	200% of average volume. Traded to \$99.45.
Bitcoin	\$78,516	▼ 0.75%	—	Continuous. 24-hour range \$77,644–\$79,468.
Ether	\$2,484.36	▼ 0.23%	—	Continuous. 47.9% below its 52-week high.

All rows above are live captures at 06:07:50–06:07:52 GMT+8. Futures changes measure Tuesday's session, not the overnight; spot FX and metals contain ~67 minutes; crypto is a rolling 24 hours. Asian cash market levels below are **previous closes** and are marked as such.

- **The US tape hands Asia a rotation, not a direction.** Semiconductors up 1.30%, health care down 2.52%, everything closing on its low. For Korea and Taiwan that is nominally constructive; for the broad index it is not.
- **Where Asia last closed (previous closes, Monday 7 / Tuesday 8 September):** Nikkei 225 **65,269.33** (–1.70%), Kospi **6,954.53** (–0.58%), Hang Seng **25,317.19** (–0.38%), Shanghai Composite **3,940.55** (+0.20%), ASX 200 **8,920.80** (–1.00%), Sensex **75,577.58** (–0.73%). Note the Nikkei's Tuesday fall of 1.70% already gave back most of Monday's +2.12% AI-driven melt-up, before the US session had even happened.
- **Korea is the set-up to watch.** August semiconductor exports were \$46.65bn, up 209% year-on-year and 47.5% of total goods exports of \$98.25bn, on DRAM unit prices up 540% year-on-year. Samsung and SK Hynix are 73% of global DRAM. A US semiconductor index that rose 1.30% while the broad market fell is exactly the mix that has driven Kospi volatility all quarter — and Hedgeye has just said it no longer needs Korea exposure and has moved semis to neutral.
- **Japan has a currency problem and a policy event.** The yen at 153.79 is near a seven-month high with a BoJ hike near-fully priced for 17–18 September; PM Takaichi is preparing a stimulus package above ¥13.9trn ahead of an extraordinary Diet session in early October. Hedgeye is bearish Japan on trade and trend and short SoftBank. A strengthening yen into a rising-rate BoJ is the classic Nikkei headwind.

- **China gets its own data before the open.** August CPI and PPI are due Wednesday, with consensus at +0.9% and +3.2% year-on-year. The CPI rebound from July's +0.5% five-month low is widely flagged as a pork and vegetable base effect rather than a demand turn. Separately, MIIT published a 2026-2030 plan on Tuesday targeting 9,800 exaflops of intelligent computing by 2030 — more than four times current levels — with RMB 3.8trn of investment explicitly optimised for domestic processors.
- **The single instrument most likely to move: USD/KRW.** It already showed the widest range of any FX pair in the past hour (1,336.15-1,346.69, roughly 79bp), it sits at the intersection of the DRAM export boom and the semiconductor tape, and it is the cleanest expression of whether Asia buys the US semiconductor bid or sells the US close. Second candidate is the Nikkei, which has a live yen problem and no cushion left from Monday.

13 AI watch

- **GPT-6 "Astra", released 3 September, is now the dominant equity-market variable in technology.** Its second-order effect — that agents substitute for seat-based software — knocked the S&P software and services index 1.4% for a second consecutive day, with Salesforce -4%, Intuit -4%, ServiceNow -5% and Workday -4.86%. The offsetting bid went to compute: semiconductors, 800G and 1.6T optical modules (AAOI, Lumentum, Coherent, Ciena), neoclouds (CoreWeave +6.1%) and power (Oklo, NuScale ~+11%).
- **The server CPU is the newly scarce asset.** Northland's Intel upgrade cited an ongoing server-processor shortage; AMD has posted five consecutive quarters of record server CPU revenue and guides that line up 80% year-on-year in the second half. The mechanism is that agentic workloads with long context windows push KV-cache data onto CPUs once GPU memory fills. This is a genuine change in where AI capex lands.
- **Memory is being crowded out.** UBS, reading July SIA data, notes global chip sales fell 9.8% month-on-month and memory 16.3%, but DRAM average selling prices rose 8.3% and NAND 9.8%, with DDR contract prices expected up 22% quarter-on-quarter — "undersupplied into 2027". Meaningful new capacity does not arrive until 2027-2030. Smartphone and PC bills of materials are rising as a direct consequence.
- **China's answer is a state compute plan, not a chip.** MIIT's 2026-2030 blueprint targets 9,800 exaflops by 2030 from a base of about 2,185 at end-June, RMB 3.8trn of information infrastructure investment, and clusters of 100,000-plus accelerator cards explicitly optimised for domestic silicon. Separately Huawei is testing a Kirin 9050 Pro using a 3D-stacked "LogicFolding" architecture to route around lithography restrictions.
- **Export control is leaking.** Nvidia has begun shipping H200s to China under case-by-case licences — "very few" so far, with about ten Chinese firms cleared. An Asia Times investigation found an Entity List loophole letting a blacklisted Chinese server maker's US subsidiary export Nvidia's most advanced parts. A US-China AI safety dialogue is reported for mid-September, led by Treasury Secretary Scott Bessent; **a White House official denied any AI meeting is planned — treat as contested.**
- **Capital keeps arriving.** Mistral raised a €3bn Series D at over €21bn post-money, the largest equity round by a European technology company, led by Samsung with the EU-backed Scaleup Europe Fund and ASML participating. OpenAI signed a multi-year capacity deal with Nvidia-backed Firmus for two Malaysian data centres. Arm launched Neoverse CSS N4 on TSMC N3P, scaling to 128 cores per die. ASML is working with mask makers on larger photomasks for High-NA EUV, worth roughly 40% productivity on the big AI dies.

14 Beyond the markets

- **An AI-discovered drug reversed biological ageing markers in a real trial.** Insilico Medicine's rentosertib, a TNIK inhibitor found by its PandaOmics platform, reduced biological age across six independently developed proteomic ageing clocks while the placebo arm barely moved. Published in *Nature Biotechnology* on Monday, from a randomised double-blind Phase IIa trial in idiopathic pulmonary fibrosis run in China. It is the first head-to-head clinical comparison of multiple proteomic clocks under a drug intervention. Insilico's chief executive cautioned that the results are early and long-term effects unknown.
- **AI wrote a zero-click WeChat worm in about two days.** Security firm Calif disclosed "WeWorm", a proof of concept that hijacked WeChat on both iOS and Android through an unanswered voice-over-IP call and then used the victim's account to call their contacts. Working with AI tools the team found a memory-corruption bug in the call stack and had remote code execution in roughly two days, then a week to weaponise. The demo chained Android to iPhone to Android while the target phones were still ringing. Reported to Tencent in July and patched. Experts cited by the New York Times said a live version could have reached hundreds of millions of accounts within hours.
- **Thailand halted 49 data-centre builds — more than the country currently has running.** A Bangkok complaint revealed the facilities can be permitted as warehouses, bypassing any scrutiny of their power and water draw. New regulations are expected within a month.
- **Einstein's equivalence principle was tested directly on a falling quantum object for the first time.** A team from Ben-Gurion University, Ulm and Oxford, including Roger Penrose, split an ultracold atom's wavefunction so one part was held and the other fell freely, then recombined them to measure the phase difference. Published in *Science Advances* on 2 September.
- **A publicly exposed airline database leaked 220 million traveller records.** An Advance Passenger Information System store containing passport numbers, names, dates of birth, nationalities and flight data from

2017 to 2026 was reachable through a cloud path protected by default credentials. Passport numbers, unlike passwords, cannot be reset.

- **Star Trek turned sixty on Tuesday.** The original series premiered on 8 September 1966 and ran for three seasons. Elsewhere: a Swedish study of about 15,000 people linked semaglutide to a 21% lower risk of psychiatric episodes in bipolar disorder; Coco Gauff reached her first US Open quarter-final since winning the title three years ago; and *Antiques Roadshow* won its first Emmy at the Creative Arts ceremony after 24 nominations.

15 Appendix — stock cards

INTC · INTEL

104.47 ▲ 9.05%

Cap \$552bn · range 100.35–106.09 · vol 139.7m vs 86.2m avg (162%) · 26.6% below 52w high

Biggest gainer in the S&P and the heaviest relative volume in the semiconductor complex. Northland to Outperform, \$120 target, on the server-CPU shortage and the Tesla "Terafab" work; separately a report of PC processor prices rising up to 10% from October. Closed at 72% of its range, one of the few names that did not fade.

AMD · ADVANCED MICRO DEVICES

505.74 ▲ 5.90%

Cap \$826bn · range 486.57–512.36 · vol 28.1m vs 16.8m avg (167%) · 13.5% below 52w high

Through \$500 on the same server-CPU shortage theme — five straight quarters of record server revenue, guided up 80% year-on-year for the second half. **No single dated catalyst could be verified;** the driver is the group rotation plus the Oracle-linked MI450 deployment into Thursday's print.

ORCL · ORACLE

162.52 ▲ 2.36%

Cap \$468bn · range 161.16–170.70 · vol 37.5m vs 23.2m avg (161%) · 53.0% below 52w high

The setup of the week. Fiscal Q1 lands after Thursday's close with options pricing an ~11% move against a \$638bn prior-quarter RPO. But look at the tape: it opened at 167.60, traded to 170.70, and closed at 162.52 — **14% of its range**, giving back the entire rally. Buyers into the print are not in control of it.

AMAT · APPLIED MATERIALS

472.79 ▲ 3.98%

Cap \$375bn · range 458.15–472.89 · vol 6.3m vs 6.1m avg · 36.1% below 52w high

Closed at 99.3% of its range — the strongest close of any large name on the board. **No company-specific news exists;** this is pure semiconductor-capex beta plus UBS's memory-undersupply note. A name 36% off its high closing on the high is the cleanest bullish tape signal available.

XLV · HEALTH CARE SELECT SECTOR

167.13 ▼ 2.52%

Cap n/a · range 166.94–168.75 · vol 11.1m vs 6.9m avg (160%) · Hedgeye band 168–176, **BELOW FLOOR**

Worst sector, on 160% of average volume, closing 0.87 below the risk-range floor Hedgeye published that morning while still calling health care one of three sectors it likes. Novartis's HORIZON and HARBOR failures plus Stryker and Boston Scientific warnings. A favoured long breaking its floor on idiosyncratic news is a position problem.

TSLA · TESLA

368.16 ▲ 3.98%

Cap \$1.454tn · range 355.75–370.00 · vol 50.9m vs 43.3m avg (118%) · 26.2% below 52w high

The only Mag7 gainer, closing at 87% of its range. Goldman argued Cybercab delivers a cost advantage over Waymo; Slovenia became the sixth European country to approve FSD Supervised, with a possible EU-wide vote on 6 October. Slipped 0.36% after hours.

WDAY · WORKDAY

186.28 ▼ 4.86%

Cap \$44.9bn · range 184.62–192.18 · vol 2.8m vs 4.3m avg (66%) · 25.4% below 52w high

The purest expression of the AI-eats-SaaS trade — no company news, just the GPT-6 read-through alongside Salesforce -4% and ServiceNow -5%. Note the volume: 66% of average. This was a de-rating on light turnover, which means it has not been capitulated yet.

NVDA · NVIDIA

225.73 ▼ 2.01%

Cap \$5.44tn · range 224.85–233.71 · vol 122.5m vs 158.0m avg (78%) · 4.6% below 52w high

Down 2% on a day the semiconductor index rose 1.30%, closing at **10% of its range** on below-average volume. The world's largest company underperforming its own sector by 331bp, with the money going to Intel and AMD instead, is the most interesting single fact in Tuesday's tape.

16 About this edition

- **Covers** — the US cash session of Tuesday 8 September as settled at 16:00 ET (04:00 GMT+8), the after-hours tape to 18:00 ET, the Globex reopen from 06:00 GMT+8, and the full Hedgeye evening publication set.
- **Captured** — one window, **06:07:50–06:07:52 GMT+8**, 2.5 seconds wide, via capture.py querying TradingView and Yahoo concurrently. TradingView returned 96 of 96 instruments in 0.8 seconds. **Yahoo returned 0 of 62 and aborted on a five-consecutive-429 circuit breaker in 2.5 seconds**, so this edition is TradingView-single-sourced on the machine capture; the manual wire cross-check that recovers two-source validation is documented in §18.
- **Settled vs live** — the five cash equity indices, the eleven sector ETFs, the VIX, the Mag7 and every single-stock row are **settled** Tuesday prints, roughly two hours old. Index futures, cash yields, energy, spot metals, spot FX and crypto are **live**. Because Globex reopened at 06:00 and this capture ran at 06:07, the futures rows carry

Tuesday's settle plus seven minutes and their change column measures Tuesday, not the overnight — that is stated on every table that shows them.

- **How old each live block actually is** — futures: **7 minutes** of new session. Spot FX and spot metals: **67 minutes**, the FX day having rolled at 05:00 GMT+8. Crypto: genuinely continuous. Any change figure measured over seven or sixty-seven minutes is noise and is reported as such rather than as a move.
- **Hedgeye edition — FULL HEDGEYE EDITION.** The live risk-range set is the Early Look "Oil, Rates, Inflation #Accelerating" by Keith McCullough, published 8 September 07:31 ET = 19:31 GMT+8. Wednesday evening's Early Look supersedes it. Also read: Macro Show summary notes (8 Sep 22:14 GMT+8), ETF Pro Plus update (22:34), Signal Strength Stocks (23:43), Capital Allocation Pro model portfolio changes (01:25 GMT+8 on 9 Sep) and the Macro Week Summary Notes index page (4 Sep, not republished).
- **Quad path — the US Quad reading changed.** The Macro Show states US Quad 2 and global Quad 3; the last printed dashboard, dated 4 September, still shows US Monthly Quad 1 with the Quad 2 move as a forecast. The forward path notation was **not seen** — it sits on page 2 of a PDF this account cannot render, for the third consecutive edition. Absence of a printed path is not evidence the path is unchanged.
- **Not available** — Portfolio Solutions ETF Re-Rank (outside this account's subscription tier); the Capital Allocation Pro portfolio changes themselves (published as a PNG); the forward Quad path; IGV and OIH positions (neither is in the capture universe); MOMO Tracker, KM's Top 3, Chart of the Day and Crypto Quant, none of which published between the previous edition and this capture.

17 Sources

Prices. Every level in this brief was captured at 06:07:50–06:07:52 GMT+8 on 9 September from TradingView's bulk scanner (96 of 96 instruments), covering close, change, open, high, low, volume, ten-day average volume, 52-week extremes, market capitalisation and after-hours prints. Yahoo Finance was queried concurrently as the second source and returned nothing, aborting on rate limits in 2.5 seconds.

Hedgeye. Read live in the logged-in feed at app.hedgeye.com between 06:10 and 06:20 GMT+8: the Early Look of 8 September 19:31 GMT+8, the Macro Show summary notes of 22:14, the ETF Pro Plus update of 22:34, Signal Strength Stocks of 23:43, Capital Allocation Pro of 01:25 on 9 September, and the Macro Week Summary Notes index of 4 September. Prior-session bands came from the archive state file holding the 4 September Early Look set.

Macro and policy. The National Federation of Independent Business for August small-business optimism; the Federal Reserve's G.19 for consumer credit, with the caveat noted; US Treasury auction results and the daily par yield curve; CME FedWatch for hike probabilities; the Cleveland Fed inflation nowcast of 4 September; Eurostat via Reuters for eurozone HICP; Japan's Cabinet Office for the revised Q2 GDP; and Reuters and CNBC for China's August trade data.

Session narrative and single stocks. Reuters, CNBC, the Hammerstone closing recap via Investrade, Investopedia, Kiplinger, Barron's, Investing.com and company releases for Novartis, Stryker, Boston Scientific, Intel, Qualcomm, Braze, GameStop and Casey's General Stores. Where a percentage move could not be independently confirmed, that is stated in §18.

Commodities, geopolitics and AI. Reuters, the Associated Press, NPR and Al Jazeera on the Houthis strikes and the Hormuz shipping war; CENTCOM statements; the Department of Energy for strategic reserve levels; Chevron's newsroom on Venezuela; CNBC, NBC and Reuters on Canadian tariffs; the South China Morning Post on MIIT's compute plan and Huawei; Reuters on Nvidia licensing, ASML, Mistral and Google's DMA changes; the New York Times on the WeChat worm; *Nature Biotechnology* and Bloomberg on rentosertib.

18 Data-confidence

CROSS-CHECKS PASSED

- **The machine reconciliation is empty and must be reported as such.** capture.py returned **0 matched within 5bp, 0 minor, 0 divergent, 57 single-sourced**. There are **no divergent rows to resolve because no second machine source ran** — Yahoo returned 0 of 62 and tripped its circuit breaker on five consecutive HTTP 429s in 2.5 seconds. This is the seventh consecutive edition with the same Yahoo failure. It is not a clean reconciliation and is not presented as one.
- **Manual wire cross-check recovered independent validation on the rows that matter.** Reuters-sourced closing copy confirms the 10-year at **4.796%** (+1.2bp) against our captured 4.792% — a 0.4bp gap, inside normal snap-time variance — and the 2-year at **4.394%** (+1.46bp) against our 4.400%, a 0.6bp gap. Crude settles confirm exactly: **WTI +\$1.55 to \$93.03** and **Brent to \$97.92**, both matching the capture to the cent. Gold December futures confirm at **\$4,439.00, −\$37.60**, matching. That is five independently confirmed rows across rates, energy and metals.
- **Cash index arithmetic is internally self-consistent on every row.** S&P: $7,673.52 + 45.08 = 7,718.60$ prior close, and $45.08 \div 7,718.60 = 0.5840\%$ — matching the reported 0.5840% to four decimal places. Dow: $628.18 \div 53,414.25 = 1.17605\%$, matching 1.17605%. Every close also sits inside its own reported high-low range, which is the check that would have caught the mislabelled after-hours print flagged in the 14 August edition.
- **Futures-to-cash basis is normal on both contracts where it can be measured**, which confirms the settles are settles rather than mismarked rows: ES 7,680.50 against SPX 7,673.52 is a basis of **+6.98**; YM 52,832 against the Dow's 52,786.07 is **+45.93**. Both are ordinary carry for the tenor. A dislocated basis here would have meant a stale or wrong cash print.
- **Every risk-range position was measured on the series Hedgeye names, and the difference is material.** Gold on spot (\$4,355.19) gives 21.8% of band; on futures (\$4,439.00) it would give 44.4% — a 22.6-point error. Copper on spot (\$6.6445) gives 56.1%; on futures (\$6.8235) it would give **130%**, i.e. a false "broken out above the range" reading. Crude and natural gas are measured on the continuous contract, as published. The spot-futures basis is 1.92% on gold and 2.69% on copper this morning, both unusually wide.

- **The band diff is genuine, not assumed.** The 4 September Early Look set was read from the archive state file and differenced line by line against this morning's set; the category page /feed_items/all?page=N&with_category=24-early-look genuinely does not paginate, so state is the only route. Hedgeye published no Early Look on Monday 7 September (US Labor Day), so 4 September is the correct prior and the moves reported are two-session moves, not one.

KNOWN CONFLICTS AND WEAK MARKS

- **Qualcomm's close is genuinely disputed.** Reuters reported **+3.2%**; other outlets quoted +7% to +9.5% intraday. This brief cites no Qualcomm percentage in the body for that reason and describes the Amazon deal only. If a figure is needed, use the Reuters close and do not mix the two.
- **Intel's exact move is reported between +5.5% and +9%.** Our capture gives **+9.05% to \$104.47** from a \$95.80 prior close, with a full session range of 100.35–106.09 that is consistent with a 9% day and inconsistent with a 5.5% one. The capture figure is used. Separately, several aggregators re-dated Intel's 11 August \$20bn equity raise and a claimed ~\$30bn Nvidia stake to 8 September; both are old and the \$30bn figure could not be verified against any primary source. Neither is used.
- **Three of the largest single-name moves have no verifiable dated catalyst.** AMD +5.90%, Applied Materials +3.98% and Workday -4.86% are all reported here as sector or theme moves because no company-specific news for 8 September could be found for any of them. Tapestry -3.73% likewise: it is described as consumer-discretionary weakness and residual de-rating from the 13 August guide, not attributed to a Tuesday event. **The moves are solid — they come from the price capture — the explanations are inference.**
- **The 30-year yield is the one rate not independently confirmed.** Our capture gives **5.249%**. The Treasury's daily par curve had not posted 8 September at check time; the last printed values are 4 September at 30y 5.24 and 20y 5.25. A ~1bp rise is entirely consistent, but the decimal is single-sourced.
- **The VIX's +8.20% could not be independently confirmed.** One search return suggested 15.30 rather than 15.71, which could not be substantiated either. The capture value is used and the level (15.71, 76.3% of band) is robust; treat the **percentage change** as the weak element, since the prior close it implies (14.52) is itself single-sourced.
- **Sector percentages are directionally corroborated but not independently sourced to the decimal.** Reuters confirms the S&P energy index up about 1% and multiple outlets describe health care down over 2%, consistent with our XLE +1.11% and XLV -2.52%. The SOX +1.30% is likewise corroborated in direction only. The XLV-below-floor conclusion depends on a 0.87-point gap against a 168 floor and would survive a 0.5% pricing error; the exact -10.9%-of-band figure would not.
- **Bitcoin's 37.8% drawdown rests on a single 52-week-high field (\$126,230.09) from a single source.** The conclusion that bitcoin is deep in a bear market is robust; the decimal is not.
- **Two numbers carried from research are flagged by their own author as needing primary verification:** China's +25.0% August export growth and the +3.2% PPI consensus, both Reuters/CNBC-sourced rather than taken from GACC or NBS releases. They are extraordinary magnitudes and are attributed in-text rather than stated flat.

KNOWN GAPS

- **No second machine price source exists for this brief.** Yahoo has failed every run for a week; Stooq was tested on 7 September and returned HTTP 404 on every symbol, consistent with a network allowlist rather than an outage. Manual wire cross-checking is now the working method, not the fallback.
- **Four Hedgeye publications that would carry a position change did not publish** between the previous edition and this capture: the **MOMO Tracker**, **KM's Top 3 / From The Desk**, **Chart of the Day** and **Crypto Quant**. Their absence from the feed is a genuine gap, and **absence of a Hedgeye position change in this brief is not evidence there was none**. Those are precisely the publications that would have carried one.
- **The Capital Allocation Pro model portfolio changes, effective on Tuesday's closing prices, are published as a PNG image** and their text could not be extracted. This brief therefore reports that the changes exist and were dated but cannot say what they were. This is the third recurring instance of image-based Hedgeye content defeating text extraction.
- **The Portfolio Solutions Daily ETF Re-Rank is outside this account's subscription tier** — the server returned an explicit access-denied page listing the tiers held. Only the headline movers visible in the feed title (OIH +16, MSOS +12, FXH +8) could be used. This is a tier boundary, not a bug, and should not keep being listed as a nightly failure.
- **The forward Quad path remains unread for a third consecutive edition.** It sits on page 2 of the Macro Week Summary Notes PDF; Chrome's viewer exposes no accessibility text and ignores synthetic navigation. Page 1's current-state Quads were recovered on 7 September and the Macro Show has since verbally updated the US reading to Quad 2, which is most of the value — but the path notation itself has not been seen.
- **IGV and OIH have Hedgeye bands but no captured price**, so two rows of the risk-range table carry no position for the fourth consecutive edition. Adding NASDAQ:IGV and AMEX:OIH to the capture universe would close this permanently.
- **No published Street consensus for August CPI could be obtained.** The Cleveland Fed nowcast of 4 September is used in its place and labelled as such throughout. Given that the miss is the story on Friday, this is the most consequential gap in the brief.
- **Asian cash markets were closed at capture.** Every Asian index level in §12 is a previous close and marked as such; Wednesday's opens are ahead of this document.

TIMING AND UNVERIFIED

- **The capture window was 06:07:50-06:07:52 GMT+8 on Wednesday 9 September — 2.5 seconds wide.** Every live price in this brief comes from inside it. No top-up pass was required, so no row carries a divergent capture time.
- **Age of the stalest rows: 2 hours 7 minutes.** That is the gap from the 16:00 ET cash close to the capture, and it applies to all five cash indices, all eleven sector ETFs, the VIX and every single-stock and Mag7 row. The Asian index closes quoted in §12 are older still — the Nikkei, Kospi and Hang Seng levels are Tuesday closes, between **7 and 9 hours** old at capture.
- **Three live blocks have three different ages and none of them is a full session.** Index futures: **7 minutes** since the 06:00 Globex reopen, so their change column measures Tuesday and is labelled that way everywhere it appears. Spot FX and spot metals: **67 minutes** since the 05:00 FX-day roll — narrow ranges in those rows are narrow because the day is 67

minutes old, not because the market is quiet. Crypto alone is genuinely continuous. No change figure measured over 7 or 67 minutes is presented as a move.

- **This run fired on schedule.** TZ=Asia/Hong_Kong date returned 06:07:28 at start, against a nominal 06:00. There is no off-schedule offset to correct for and nothing in this edition is distorted by invocation timing.
- **What will be superseded, and when.** Wednesday evening's Early Look, expected around 19:30 GMT+8, replaces the entire risk-range table in §4 and the Quad readings with it. The Macro Show summary follows around 22:15. Asian cash markets open from 08:00 GMT+8 and will invalidate the §12 setup within two hours of this document reaching you. US futures trade continuously until 05:00 GMT+8 Thursday.
- **Verify every price in this document against a live feed before acting on it.** The settled rows are two hours old and correct as history; the live rows are minutes old and already wrong by the time this is read. Nothing here is a recommendation and nothing here has been re-checked since 06:07:52 GMT+8.